Olist Performance Review

Where we gain and lose sales and customer satisfaction, and what to do about it

Prepared by: [Your name] Date: [Date] Data: about 100,000 orders, September 2016 to September 2018

The short answer

Olist grew fast through 2017 and then levelled off. Most of its sales come from a few places (São Paulo and ten product categories) and from customers who buy only once. The biggest avoidable problem is late delivery: when an order arrives more than 5 days late, customers rate it about 2.5 stars lower, and two out of three of them leave a 1-star review. Fixing delivery in a few states, and giving first-time buyers a reason to return, offer the clearest gains.

Key numbers

Measure	Value	What it means
Orders (excluding canceled)	98,207	Orders that counted toward sales
Product sales	13.5 million BRL	Item prices only, delivery fees excluded
Average order value	137 BRL	The typical (median) order is lower, at 87 BRL
Average review score	4.16 out of 5	59% of reviews are 5 stars
Orders delivered late	8.1%	Arrived after the date promised to the customer
Customers who ordered again	3.0%	97% of customers bought only once

What we found

1. Sales grew, then stalled. Monthly orders rose about nine times between January 2017 (787) and early 2018 (about 7,200), then stayed between 6,000 and 7,000. November 2017 was the peak, with 7,423 orders, 63% more than October (likely Black Friday).

2. Sales are concentrated. São Paulo state brings in 38.3% of sales, and the top three states bring in 63.4%. The top 10 of 73 product categories bring in 62.4%. Watches and gifts earn 214 BRL per order, almost twice as much as bed, bath and table (110 BRL).

3. Late delivery hurts reviews. On-time orders average 4.29 stars. Orders 1 to 5 days late average 3.46, and orders more than 5 days late average 1.78 (67% give 1 star). Alagoas (23.9% late) and Maranhão (19.7%) are the worst states. Rio de Janeiro, our second-largest state, has 13.5% late orders.

4. Customers rarely come back. Only 3.0% ordered more than once. Customers who spend a lot (recent and older buyers) are about 30% of customers but 58% of sales.

5. Seller size does not predict quality. The top 10 sellers earn only 13.2% of sales, so sales are spread across about 3,000 sellers. Bigger sellers do not get better reviews. One large seller averages 3.49 stars with deliveries taking about 20 days. Sellers with more late orders tend to score lower.

What we recommend

#	Action	Why (evidence)
1	Improve delivery in RJ, AL and MA; set late-delivery targets	These states have the most unhappy customers; RJ is also a high-sales state
2	Make delivery estimates more realistic by state	Orders arrive 11 days early on average, yet AL and MA still miss the date on about 20% of orders
3	Prepare seller stock and carrier capacity before November	November 2017 orders were 63% above October

#	Action	Why (evidence)
4	Test a second-purchase offer for recent high-value customers, and a win-back offer for older ones	Only 3% of customers return; high-value customers drive 58% of sales
5	Create a seller scorecard (reviews, delivery time, late rate); review weak high-volume sellers first	Seller size does not predict quality; late sellers get lower reviews
6	Feature high-value categories such as watches and gifts	They earn much more per order

Limits of this analysis

- Late delivery is linked to low reviews, but we have not proven it is the only cause. Damaged or wrong items could also play a part.
- The data covers 2016 to 2018 and has only one November, so we cannot say the November peak repeats every year.
- Customer return rates use six months of follow-up, and the customer groups (such as "at risk") are labels we defined, not proof that these customers would buy again. The campaigns should be tested on a small group first.
- Review scores belong to a whole order, so they are an imperfect measure of one seller.

Next steps

(1) Check whether delivery delays are worse in peak weeks such as November. (2) Test whether shipping across states explains slow deliveries. (3) Pilot the second-purchase offer on a small group and measure the result. An interactive dashboard with filters by state, month and category accompanies this summary.